

SIGMA COMPONENTS HOLDINGS

UK Aerospace Precision Machining

Investment Thesis — Rubicon Partners

Executive Summary

£82.2m preference share stack matures 31-Dec-26 · Silverfleet Fund II approaching year 10 · Forced sale dynamic

£45.1m

FY25 Revenue
+7.6% YoY

£6.5m

FY25 EBITDA
14.4% margin

1.8x

Net Senior Leverage
HSBC + Santander

£82.2m

Pref Stack (12% PIK)
Matures 31-Dec-26

21%

Base Case IRR
2.5x MOIC / 5yr hold

COMPANY SNAPSHOT

- **Core business:** UK Tier 2/3 aerospace precision machining group
- **HQ** Hinckley (+ Chengdu low-cost hub)
- **Core products:** rigid pipe assemblies, ducting, fasteners and fabrications for engines and airframes
- **Customers:** Rolls-Royce, BAE Systems, Airbus, Spirit AeroSystems
- **Business model:** make-to-print — customer owns design IP; Sigma owns process IP
- 70% of revenue secured under Long-Term Agreements of up to 15 years
- 3 patented composite pipe technologies (under-monetised)
- 465 FTEs; FY25 revenue per head £97k; asset-light (TFA £4.4m post sale-and-leaseback)

WHY NOW — INVESTMENT CATALYST

- Silverfleet Fund II vintage 2015: approaching year 10, well beyond typical 5-yr exit window
- £82.2m preference share stack at 12% PIK matures 31-Dec-26 — structural forced-sale trigger
- Indicative EV £58m / equity £32m within Rubicon's £10-50m equity / £10-300m EV envelope
- Senior facility refreshed May-25 (HSBC + Santander, May-29 maturity) — clean base
- Entry at 8.9x LTM EBITDA vs. UK aero comp average ~10x — 15% discount on forced-sale dynamics
- 5 clear value creation levers: margin, bolt-ons, IP, aftermarket, diversification

Company Overview

74-year heritage in UK precision aerospace · Ex-Hampson asset · Silverfleet hold since 2016

HISTORY & OWNERSHIP

- **1951:** founded as a division of Hampson Industries
- **Oct 2013:** Hampson placed in administration (debt covenant breach)
- **Apr 2016:** Silverfleet Capital II acquires Sigma (~£55–70m EV)
- **May 2025:** Senior facility amended — HSBC/Santander, May-29 maturity
- **31 Dec 2026:** £82.2m preference share redemption date — exit catalyst

OPERATIONS & FOOTPRINT

- **HQ:** Hinckley, Leicestershire (UK manufacturing + certifications)
- **UK entities:** Sigma Precision Components UK, Sigma Components (Farnborough), C&H Precision Finishers
- **China:** Chengdu Sigma Precision Components — low-cost machining hub (single CGU)
- **FTEs:** 465 employees (FY25, +5.7% YoY): 390 production / 75 admin
- **Asset-light:** tangible fixed assets £4.4m (sale-and-leaseback completed in hold)

PRODUCTS & IP

- Rigid pipe assemblies & ducting — engine fluid systems (fuel, oil, bleed air)
- Composite pipe IP: 3 live patents GB2523204 / WO2015/124924 / WO2016/009208
- Precision fabrications and sub-assemblies for airframe structures
- Specialist fasteners — high-spec aerospace grade
- Make-to-print model: no design liability, no NPI risk, no R&D drain

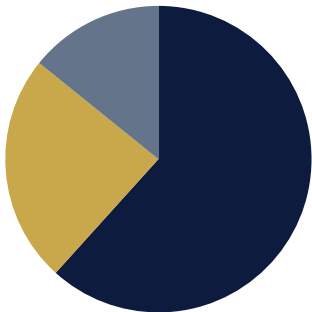
CUSTOMERS & CONTRACTS

- Rolls-Royce plc — Trent & UltraFan engine programmes
- BAE Systems — defence airframe content
- Airbus Operations — A320 family supply chain
- Spirit AeroSystems — Hampson legacy customer base
- 70% of revenue under LTAs of up to 15 years
- 18–36 month qualification cycle = prohibitive switching cost

Business Model & Revenue Drivers

Make-to-print precision machining · Locked-in long-term contracts · Built-in cost pass-through

Geographic Mix — FY25



■ UK (61.7%) ■ Europe (24.1%) ■ RoW (14.2%)

REVENUE COMPOSITION

- Sale of goods: £40.8m (90.5%) — manufactured components
- Services: £4.3m (9.5%) — finishing, assembly, NDT
- UK: £27.8m (61.7%) — Rolls-Royce + BAE Systems
- Europe: £10.9m (24.1%) — Airbus, French/German Tier 1s
- Rest of World: £6.4m (14.2%) — US engine, China local

CONTRACT QUALITY & LTA COVERAGE

- 70% of revenue under Long-Term Agreements — up to 15 years
- Cost pass-through: contractual escalators on steel, titanium, nickel
- Volume growth aligned with commercial aero recovery and defence ramp
- Mix shift: composite + specialist fasteners driving margin uplift

MAKE-TO-PRINT MOAT

Customer owns design IP — Sigma owns process IP. No NPI risk, no design liability, no R&D drain. Today's Sigma is a pure precision contract manufacturer.

STICKY RELATIONSHIPS

Aerospace platform qualification takes 18–36 months and £multi-m customer investment. Once qualified, switching is effectively prohibited. Sigma is on Trent, UltraFan and A320 family.

PRICE DISCIPLINE

Margin held flat at 14% through 8% revenue growth — cost pass-through provisions on most material categories confirm pricing power within LTA structures.

Market Analysis

Commercial aero backlog at all-time highs · UK + EU defence spend accelerating · Fragmented Tier 2/3 landscape

\$75bn

Global Aero Precision TAM (2025)

6-7% CAGR to 2030

14,000+

Airbus + Boeing combined backlog

~10 years of production

2.5% GDP

UK Defence spend target (SDR 2025)

+ €100bn Germany Sondervermögen

COMMERCIAL AEROSPACE TAILWIND

- Airbus A320 family backlog: 8,000+ aircraft (~10 years production) — rate to 75/mo by 2027
- Boeing 737 MAX backlog recovery underway despite supply chain headwinds
- Rolls-Royce Trent in-service fleet — long aftermarket tail, locked-in supply
- Aftermarket represents 30%+ of OEM lifetime value — incumbents win

DEFENCE TAILWIND

- UK Strategic Defence Review 2025: spending pathway toward 2.5% of GDP
- Germany Sondervermögen: €100bn special defence fund — multi-year procurement
- US FY25/26 defence budgets +5-7% YoY — Sigma on BAE Systems programmes
- BAE Systems Tempest (FCAS) — Sigma legacy supplier base, qualified for next-gen

Supply Chain Resilience

"Buy local" sentiment favours UK precision suppliers post-COVID

Automation Advantage

Reduces labour arbitrage; favours capex-funded incumbents over new entrants

SAF / Electrification Horizon

Fluid systems demand intact through 2035+ — no near-term disruption

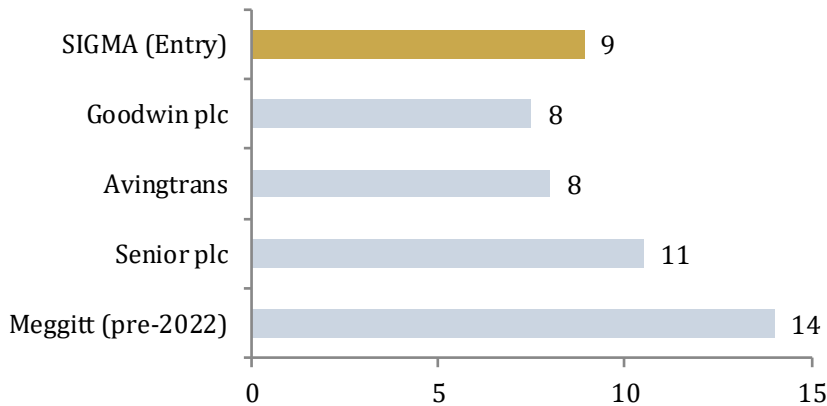
Fragmentation = M&A Runway

UK Tier 2/3: 50+ players sub-£20m revenue; Sigma positioned as consolidator

Competitive Positioning

Fragmented UK Tier 2/3 · Entry at 15% discount to comp average · Defensible moat via accreditations + LTAs

Public Market EV/EBITDA Benchmarks (LTM)



SIGMA'S COMPETITIVE DIFFERENTIATORS

- UK + China captive footprint: allows mix allocation between certification and low-cost capacity
- Composite pipe IP: 3 live patents — under-monetised vs. comparables, licensing upside
- 15-year LTAs covering 70% of revenue — revenue visibility rare in UK Tier 2/3
- C&H Precision Finishers: captive finishing on stainless and titanium (value-add internalised)
- Specialist fastener accreditations — separate from machining peers, incremental revenue pool
- Entry at 8.9x sits 15% below UK aero comp average — size + forced-sale discount

COMPETITIVE MOAT

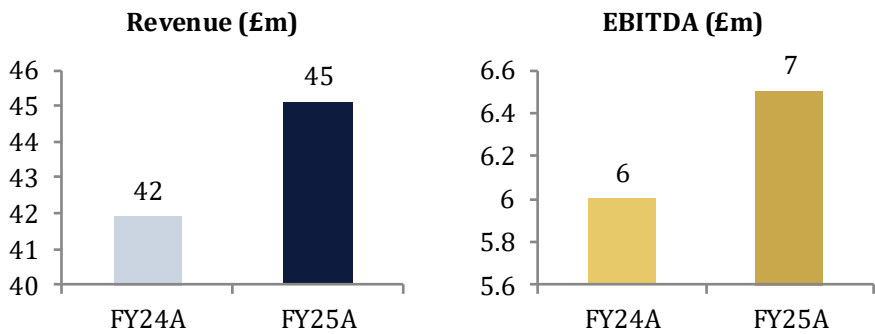
- AS9100, NADCAP and OEM-specific accreditations — 18–36 month replication timeline
- Long lead-time supplier relationships embedded in platform design chains
- Switching cost prohibitive once qualified on Trent, UltraFan or A320 family

KEY DILIGENCE ITEMS

- Customer concentration — top-10 customer contract value not in public accounts
- Make-to-print = limited product pricing power (offset by contractual escalators)
- Composite IP commercialisation value — currently latent, requires Tier 1 partner

Financial Performance

1.8x senior leverage · Revenue +8% YoY · 14.4% EBITDA margin · Pref stack is the LBO problem, not the business



P&L Summary			
Metric	FY24A	FY25A	YoY
Revenue (£m)	41.9	45.1	+7.6%
Gross profit (£m)	10.5	12.2	+16.6%
Gross margin	25.0%	27.2%	+220bps
Operating profit (£m)	3.8	4.4	+14.8%
EBITDA (£m)	6.0	6.5	+8.8%
EBITDA margin	14.2%	14.4%	+16bps
Capex (£m)	0.6	1.0	2.1x sales

Capital Structure — 31 May 2025	
Senior bank debt (HSBC + Santander)	£15.9m
Finance leases	£0.6m
Less: cash	(£4.8m)
NET SENIOR DEBT	£11.7m
Net senior leverage	1.8x EBITDA
Pref shares principal	£33.2m
Accrued PIK interest	£49.0m
TOTAL PREF STACK	£82.2m

CASH FLOW QUALITY & KPIs	
- Senior facility refreshed May-25 — banks comfortable with operating cash flow - Cash £4.8m on £45m revenue (10.6%) — healthy liquidity buffer - PIK interest rolls up at sponsor level — does not impact operating cash flow - Loss after tax (£6.1m) driven entirely by pref interest — operating business is profitable - Asset-light: TFA £4.4m — low capital intensity for a precision machining business - Revenue per head: £97k (FY25) Staff cost / revenue: 35.1% — disciplined - WC intensity: ~30% of revenue (stocks £10.5m + debtors £7.3m – creditors £4.3m)	

Value Creation Plan

5 operational levers · Target EBITDA 14.4% → 17-18% · Bolt-on platform + IP commercialisation + aftermarket

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MARGIN EXPANSION

14.4% → 17-18%

- **Procurement:** consolidated buying across UK + China (steel, titanium, fasteners)
- **Shop floor automation:** CapEx 2-3% sales ringfenced for cell automation
- **Chengdu mix shift:** non-flight-critical machining to China (~250bps margin uplift)

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COMPOSITE IP MONETISATION

3 live patents — currently latent

- Licence to Tier 1 (Safran, RTX) or JV for engine bleed-air ducting
- IP monetisation roadmap + Tier 1 licensing precedent review in diligence
- Potential licensing income = high-margin, capital-light revenue stream

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BOLT-ON M&A

3-5 deals over hold

- **UK Tier 2/3 is fragmented** — 50+ players sub-£20m revenue
- **Target profile:** £5-15m EV, complementary capabilities (additive, exotic alloys)
- **Synergies:** shared OEM accreditations, procurement scale, finishing capacity

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AFTERMARKET PULL-THROUGH

MRO revenue can double

- **Dedicated MRO sales channel** — current ~10% services revenue has runway
- **Aftermarket margins** ~500bps higher than OEM build programmes
- **Rolls-Royce Trent** in-service fleet provides a natural demand pool

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CUSTOMER DIVERSIFICATION

Reduce top-5 concentration

- **Target:** Embraer, Bombardier, Tier 1 fluid system integrators outside core 4
- **Exit optionality:** Senior plc, TransDigm, Loar Group as strategic acquirers
- **Secondary PE:** Triton, Searchlight, Endless — aero re-rating story

Transaction Overview & Returns Analysis

£58m EV (8.9x EBITDA) · £32m equity check · Base case 2.5x MOIC / 21% IRR over 5-year hold

SOURCES OF FUNDS (£m)	
New senior debt (HSBC refi)	£26.0m (44.8%)
Sponsor equity (Rubicon)	£30.0m (51.7%)
Management rollover	£2.0m (3.4%)
TOTAL	£58.0m (100%)

USES OF FUNDS (£m)	
Take out existing senior debt	£15.9m
Settle pref stack (51% haircut vs £82.2m face)	£40.0m
Transaction fees + closing costs	£2.1m
TOTAL	£58.0m

SENSITIVITY ANALYSIS (5-YR HOLD)			
Scenario	Exit / EBITDA Y5	MOIC	IRR
Bear	7.5x / £8.5m	1.7x	11%
Base	9.0x / £10.2m	2.5x	21%
Bull	11.0x / £12.5m	3.9x	31%

BASE CASE RETURNS — 5 YEAR HOLD	
Entry EV / LTM EBITDA	8.9x
Entry equity	£32m
Year 5 EBITDA	£10.2m
Year 5 net debt (after sweep)	£10m
Exit multiple	9.0x
Exit EV	£92m
Equity to sponsor	£82m

2.5x

MOIC — Base Case

21%

IRR — Base Case

Bull case requires composite IP commercialisation + 2–3 bolt-on acquisitions + multiple expansion to 11x

Investment Thesis

5 pillars: forced seller · defensive cash flow · margin asymmetry · cycle tailwind · structural edge

1. MISPRICED FORCED SELLER

- Silverfleet Fund II vintage 2015 — approaching year 10 of hold
- £82.2m pref stack at 12% PIK matures 31-Dec-26 — sell or restructure
- Asset value below pref face at standard aero multiples — motivated vendor
- Senior facility refreshed May-25 (May-29 maturity) — clean base for sale

2. DEFENSIVE CASH FLOW

- 70% revenue under LTAs of up to 15 years — rare revenue visibility
- 1.8x net senior leverage; HSBC + Santander (May-29 maturity)
- 14.4% EBITDA margin held flat through 8% revenue growth
- Blue-chip customer base: Rolls-Royce, BAE Systems, Airbus, Spirit

3. MARGIN ASYMMETRY

- Current EBITDA margin 14.4% → target 17–18% over hold period
- Drivers: procurement consolidation, Chengdu mix, automation capex
- Operational levers — not revenue-dependent; downside protected
- Senior plc Aero ~11-12% adj op margin — Sigma's 9.7% has clear runway

4. CYCLE TAILWIND

- Airbus + Boeing backlog 14,000+ aircraft — decade of production ahead
- UK SDR + EU defence uplift — multi-year procurement cycle
- Aftermarket compounding post-2027 as installed base scales
- SAF/electrification <2035 horizon — fluid systems demand intact

5. STRUCTURAL EDGE + WHY RUBICON

- UK + China captive footprint; 3 patented composite technologies
- Bolt-on platform: fragmented UK Tier 2/3, 3–5 deals over hold
- Rubicon precedents: Park Sheet Metal, Cerdic Foundries, Farsound Aviation
- £58m EV / £32m equity within Rubicon £10-50m equity envelope

Go / No Go

PROCEED — Sigma overlaps Rubicon precedents (Park Sheet Metal, Cerdic Foundries); 31-Dec-26 pref maturity is the timing catalyst

✓ **RECOMMENDATION: PROCEED TO INDICATIVE BID — Bilateral approach via Andrew Fischer (Rubicon MP/Co-Founder)**

STRENGTHS

- ~\$75bn TAM, 6–7% CAGR — commercial aero + UK/EU defence spend uplift
- Make-to-print: no design / NPI / R&D risk — pure execution business
- 70% revenue under LTAs of up to 15 years; 18–36 mo qualification = switching barrier
- Composite pipe IP (3 patents); specialist fasteners; captive finishing
- UK (Hinckley) + China (Chengdu) footprint; 38% export revenue
- 14.4% EBITDA margin vs. Senior plc Aero ~11–12%; 1.8x senior leverage
- Overlaps Rubicon Park Sheet Metal (UK precision, OEM customers); within investment envelope

RISKS & CONCERNS

- Customer concentration not disclosed in audited accounts — critical diligence item
- Make-to-print = limited product pricing power (mitigated by contractual escalators)
- Composite IP under-monetised — commercialisation requires Tier 1 partner (slow)
- £82m pref face — Silverfleet may anchor high; deal structure flexibility key
- 9.5-year Silverfleet hold: tired sponsor and potential management fatigue
- Chengdu site: political / IP transfer risk as China scrutiny increases
- WC heavy (~30% revenue); USD/GBP FX exposure on tranches and US revenue

PRIORITY DILIGENCE ITEMS

- Top-10 customer concentration + remaining LTA contract value
- LTA terms: escalators, volume commitments, term remaining
- Capex backlog vs. asset-light position — underinvestment risk?
- Management depth + retention plan post-Silverfleet exit
- Composite IP roadmap + freedom-to-operate analysis
- Silverfleet pref haircut tolerance + deal structure flexibility

NEXT STEPS

- PROCEED — relationship via Andrew Fischer (Rubicon MP/Co-Founder)
- STRUCTURE: cash + seller note + ~50% pref haircut; bilateral with Silverfleet (avoid auction)
- ENGAGE Rubicon operating bench on margin expansion + bolt-on plan pre-bid